

The Travelers Companies, Inc.

Recommendation **BUY** ★★★★★

Price USD 164.21 [as of market close Oct 13, 2023] 12-Mo. Target Price USD 205.00 Report Currency USD Investment Style Large-Cap Value

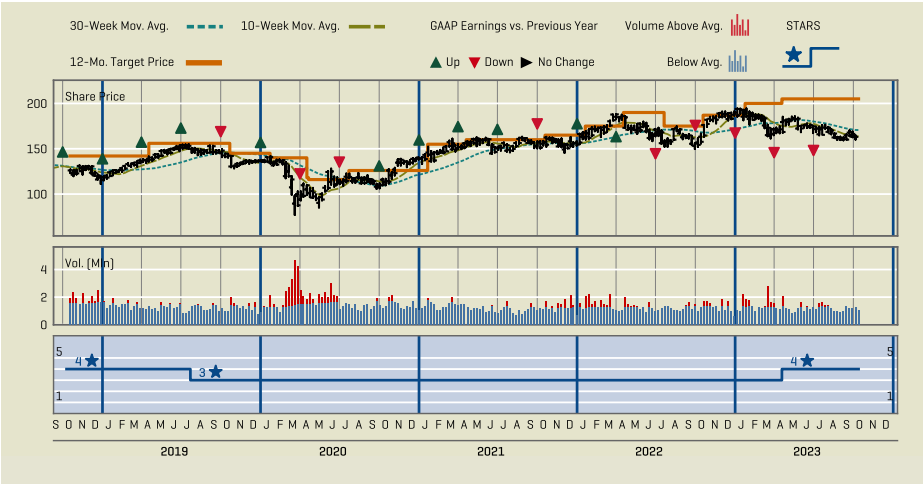
Equity Analyst Catherine Seifert

GICS Sector Financials Sub-Industry Property and Casualty Insurance

Summary This leading commercial and personal lines property-casualty insurer also has a presence in Canada following its acquisition of Toronto-based Dominion of Canada.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)									
52-Wk Range	USD 194.51 - 155.72	Oper.EPS2023E	USD 12.24	Market Capitalization[B]	USD 37.59	Beta			0.60
Trailing 12-Month EPS	USD 9.77	Oper.EPS2024E	USD 16.95	Yield [%]	2.44	3-yr Proj. EPS CAGR[%]			8
Trailing 12-Month P/E	16.81	P/E on Oper.EPS2023E	13.42	Dividend Rate/Share	USD 4.0	SPGMI's Quality Ranking			B+
USD 10K Invested 5 Yrs Ago	14,926.0	Common Shares Outstg.[M]	229.00	Trailing 12-Month Dividend	USD 3.86	Institutional Ownership [%]			83.0

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by Catherine Seifert on Jul 21, 2023 01:10 AM ET, when the stock traded at USD 173.63.

Highlights

- ▶ We forecast operating revenue growth of 8%-12% in 2023, amid our view that net earned premiums (which account for about 90% of revenues) will rise by 9%-12%, net investment income (8%) will be flat to up 5%, and fee and other revenues (2%) will rise by 5%-8%. Our forecasted rate of revenue growth reflects what we expect will be a strong pricing environment and stable demand for coverage in 2023.
- ▶ Our operating profit forecast assumes that underwriting results remain profitable and that TRV's prior-year loss development trends remain positive. Results in 2022 reflected a 2% rise in an already elevated level of after-tax catastrophe losses, offset by a significant improvement in prior-year loss development trends. The combined ratio ended 2022 at 95.6%, versus 94.5% in 2021; the underlying combined ratio deteriorated to 92.0% in 2022 from 90.3% in 2021. Q2 underwriting results deteriorated on higher weather claims, but underlying results were profitable, evidenced by the underlying combined ratio of 91.1% versus 92.8%.
- ▶ We forecast operating EPS of \$12.24 in 2023, rising to \$16.95 in 2024 and to \$19.25 in 2025. Per-share results have been helped by share buybacks, including \$2.1 billion in 2022.

Investment Rationale/Risk

- ▶ Our opinion on the shares is Buy. We raised our view from Hold after Q1 results indicated TRV's top-line results were accelerating, including the 15% rise in Q1 Business Insurance written premiums. We believe an uptick in premium growth, coupled with stable to improving underlying claim trends, provide the shares with a catalyst to close their valuation discount to peers and historical averages. We view TRV as a prudent underwriter with an above-average quality balance sheet. Our view is tempered by TRV's exposure to certain "long tail" risks, although TRV has prudently managed these risks, in our view.
- ▶ Risks to our recommendation and target price include a deterioration in asbestos and environmental claims as well as reserve development, erosion in underwriting trends, a surge in catastrophe losses, or erosion in the credit quality of the investment portfolio.
- ▶ Our 12-month target price of \$205 assumes a multiple of 12.1x our 2024 operating EPS estimate and 10.6x our 2025 operating EPS estimate. Our target multiple reflects our view that TRV shares will trade in line with its three-year average forward multiple of 12.8x (on decent top-line growth trends) and compared to the peer average of 13.1x.

Analyst's Risk Assessment

LOW MEDIUM HIGH

Our risk assessment reflects TRV's position as a leading property-casualty underwriter with a diversified mix of business and sound capital management and underwriting practices. Offsetting this is our view that TRV may have to add to loss reserves for certain "long tail" liability lines of coverage, though recent claim trends have stabilized, despite a rise in "social inflation." TRV also did not experience a material level of business interruption claims from Covid-19 and had little to no exposure to the conflict in Ukraine.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2023	9,704	10,098	--	--	--
2022	8,809	9,136	9,303	9,636	36,884
2021	8,313	8,687	8,805	9,011	34,816
2020	7,908	7,401	8,275	8,397	31,981
2019	7,671	7,834	8,013	8,063	31,581
2018	7,286	7,477	7,723	7,796	30,282

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2025	E 4.88	E 4.12	E 4.47	E 5.78	E 19.25
2024	E 4.30	E 3.63	E 3.94	E 5.08	E 16.95
2023	4.11	0.06	E 3.12	E 4.95	E 12.24
2022	4.22	2.57	2.20	3.40	12.42
2021	2.73	3.45	2.60	5.20	13.94
2020	2.62	-0.20	3.12	4.91	10.48

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
1.0000	Jul 20	Sep 07	Sep 08	Sep 29 '23
1.0000	Apr 19	Jun 08	Jun 09	Jun 30 '23
0.9300	Jan 24	Mar 09	Mar 10	Mar 31 '23
0.9300	Oct 19	Dec 08	Dec 09	Dec 30 '22

Dividends have been paid since 1971 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.



The Travelers Companies, Inc.

Business Summary Jul 21, 2023

CORPORATE OVERVIEW. The Travelers Companies (TRV) is a leading property-casualty underwriter. Net written premiums of \$35.4 billion in 2022 [versus \$32.0 billion in 2021] were divided as follows: business insurance 50%; personal lines 40%; and bond and specialty insurance for the remaining 10%.

The business and international insurance segment offers an array of property and liability coverages distributed through a broad network of independent brokers and agencies in the U.S. Business insurance net written premiums of \$17.6 billion in 2022 were divided as follows: workers' compensation 19%, commercial multi-peril 24%, commercial auto 17%, general liability 17%, commercial property 16%, and international and other 7%. Underwriting results in this segment improved in 2022 despite a higher level of catastrophe losses, largely reflecting more favorable prior-year loss development trends. This unit's combined loss and expense ratio ended 2022 at 92.5% [consisting of a loss ratio of 62.8% and an expense ratio of 29.7%], compared with 95.7% in 2021 [including a loss ratio of 65.0% and an expense ratio of 30.7%]. The underlying combined ratio [before catastrophes and prior year development] improved to 90.9% in 2022 from 91.7% in 2021.

The bond and specialty insurance segment underwrites a number of specialized lines of business, including lines of coverage related to the surety bond business, the construction industry, and certain types of professional and managerial liability. Net written premiums of \$3.7 billion in 2022 were divided as follows: management liability 57%, fidelity and surety 29%, and international and other 14%. Underwriting results in this segment improved in 2022 amid favorable loss development. As a result, the combined [loss and expense] ratio equaled 75.3% in 2022 versus 81.5% in 2021.

The personal lines segment underwrites an array of coverage for personal risks [primarily personal automobile and homeowners' coverage] via a network of independent agencies and directly to the consumer. Net premiums written of \$14 billion in 2022 were divided as follows: agency personal auto 46%, homeowners 49%, and international and other 5%. Underwriting results in 2022 deteriorated amid some adverse claim trends. Consequently, the combined ratio ended 2022 at 104.9% versus the year-end 2021 combined ratio of 96.5%.

CORPORATE STRATEGY. The Travelers Companies Inc. [formerly The St. Paul Travelers Companies Inc.] was formed on April 1, 2004, as a result of the acquisition of Travelers Property Casualty Corp. by The Saint Paul Companies. Each Travelers common share was exchanged for 0.4334 of a share of common stock of The Saint Paul Companies. For accounting purposes, the transaction was structured as a reverse acquisition, with Travelers treated as the acquirer. The combined entity is one of the top 10 property-casualty insurers in the United States.

The company expanded its presence in Canada following its acquisition on November 1, 2013 of The Dominion of Canada General Insurance Company for some \$1.034 billion.

In early October 2018, TRV announced that it joined forces with Amazon [AMZN ****] to create the insurance industry's first digital storefront on the AMZN platform. Initially, TRV will offer smart home security kits and insurance risk management information. We do not expect this endeavor to contribute materially to earnings in the short term, but we see this as a significant long-term strategic move that leaves TRV well positioned to further build out its digital and direct to consumer distribution capabilities.

COMPETITIVE LANDSCAPE. The insurance marketplace is highly competitive and cyclical, with many companies in the U.S., Bermuda, and Europe competing for business in both the property and casualty lines of business. Pricing for most lines of property and casualty insurance and reinsurance coverage has firmed considerably, owing to a series of factors including an increase in severity and frequency of loss costs [including those from catastrophes], some pandemic-driven claim cost inflation, and a rise in casualty costs amid "social inflation." These markets are also cyclical, marked by periods of "soft" premium pricing owing to an excess of underwriting capacity. Pricing firms when this excess capacity is removed from the marketplace, usually following a period of heavy catastrophe losses. This primarily impacts property-based lines of coverage, but a tighter market can also eventually drive up casualty rates. At December 31, 2022 [latest available], CFRA estimates property-casualty insurers had a surplus [or capital] of around \$980 billion, which was supporting a written premium base of about \$774 billion. Regulators typically allow insurers to leverage their capital base two times. In other words, insurers are permitted to write \$2 worth of premiums for every \$1 of surplus. At December 31, 2022, insurers were, on average, writing approximately \$0.79 worth of premiums for every \$1 of surplus [or capital], indicating an environment marked by excess underwriting capacity. However, pricing for most lines of coverage has firmed considerably in the wake of record catastrophe claims, the impact of social inflation, and the costs of Covid-19.

FINANCIAL TRENDS. The combined ratio is a key measure of underwriting performance that combines the loss ratio [equal to loss and loss adjustment expenses divided by earned premiums]; the expense ratio [underwriting expenses divided by written premiums]; and [sometimes] the dividend ratio [policyholder dividends divided by earned premiums]. Underwriting results [excluding policyholder dividends] deteriorated modestly in 2022 as the impact of elevated catastrophe claims was offset by improved prior-year claim trends. As a result, the combined ratio equaled 95.6% in 2022 versus 94.5% in 2021 and consisted of a loss ratio of 67.1% [versus 65.1% in 2021] and an expense ratio of 28.5% [versus 29.4% in 2021]. The underlying combined ratio deteriorated to 92.0% in 2022 from 90.3% in 2021.

Corporate information

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Officers	
Executive VP & CFO D. S. Frey	Vice Chairman & Chief Legal Officer for Travelers A. J. Kess
Senior VP of Finance, Corporate Controller & Principal Accounting Officer P. E. Munson	Executive VP, Chief Technology & Operations Officer M. M. Lefebvre
Chairman & CEO A. D. Schnitzer	
Board Members	
A. D. Schnitzer	P. L. Higgins
A. L. Beller	P. T. Ruegger
B. A. van Kralingen	R. G. Golden
C. Otis	R. O. Santana
E. Robinson	T. B. Leonardi
J. M. Dolan	T. C. Schermerhorn
L. J. Thomsen	W. J. Kane
Domicile Minnesota	Auditor KPMG LLP - Klynveld Peat Marwick Goerdeler
Founded 1853	
Employees 32,175	
Stockholders 32,871	



The Travelers Companies, Inc.

Quantitative Evaluations					Expanded Ratio Analysis						
Fair Value Rank		1	2	3	4	5	2022	2021	2020	2019	
		LOWEST		HIGHEST			P/E Ratio	15.10	11.22	13.39	14.27
		Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].					Price/Tangible Book Value	2.51	1.54	1.42	1.62
							% LT Debt to Capitalization	24.69	19.87	18.04	19.87
							Avg. Diluted Shares Outstg. [M]	239.70	250.80	254.60	262.30
							Figures based on fiscal year-end price				
Fair Value Calculation	USD 144.06	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that TRV is overvalued by USD 20.15 or 12.27%									
Volatility		LOW		AVERAGE		HIGH					
Technical Evaluation	NEUTRAL	Since May, 2023, the technical indicators for TRV have been NEUTRAL"									
Insider Activity		UNFAVORABLE		NEUTRAL		FAVORABLE					

Company Financials Fiscal year ending Dec 31											
Per Share Data [USD]		2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value		74.63	101.88	98.68	84.74	70.61	71.62	69.29	66.73	64.93	58.87
Operating Earnings		15.46	19.13	14.05	13.27	12.28	11.12	14.74	16.29	15.94	13.88
Earnings		11.77	14.49	10.52	9.92	9.28	7.33	10.28	10.88	10.70	9.74
Dividends		3.67	3.49	3.37	3.23	3.03	2.83	2.62	2.38	2.15	1.96
Payout Ratio [%]		30.79	23.73	31.92	32.19	32.26	38.18	25.12	21.49	19.75	19.85
Prices: High		191.22	163.29	141.86	155.09	150.55	137.95	123.09	116.48	107.94	91.68
Prices: Low		149.65	133.12	76.99	115.06	111.08	113.76	101.23	95.21	79.89	70.73
P/E Ratio: High		15.40	11.70	13.50	16.20	16.80	18.90	12.20	10.70	10.20	9.70
P/E Ratio: Low		12.00	9.50	7.30	12.00	12.40	15.60	10.00	8.80	7.60	7.50
Income Statement Analysis [Million USD]											
Net Life Insurance In Force		N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Premium Income		33,763	30,855	29,044	28,272	27,059	25,683	24,534	23,874	23,713	22,637
Other Revenue		559.00	928.00	710.00	841.00	749.00	822.00	663.00	562.00	674.00	727.00
Total Revenue		36,884	34,816	31,981	31,581	30,282	28,902	27,499	26,815	27,174	26,080
Pretax Income		3,354	4,458	3,237	3,138	2,961	2,730	4,053	4,740	5,089	4,945
Net Operating Income		3,705	4,798	3,576	3,482	3,313	3,099	4,290	5,113	5,458	5,195
Net Income		2,842	3,662	2,697	2,622	2,523	2,056	3,014	3,439	3,692	3,673
Balance Sheet and Other Financial Data [Million USD]											
Cash & Equivalent		799.00	761.00	721.00	494.00	373.00	344.00	307.00	380.00	374.00	294.00
Investment Assets: Bonds		71,160	77,810	73,978	68,084	63,385	62,599	60,422	60,548	63,342	63,818
Investment Assets: Loans		N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Investment Assets: Total		80,453	87,374	84,421	77,881	72,276	72,500	70,484	70,447	73,237	73,114
Deferred Policy Costs		2,836	2,542	2,358	2,273	2,120	2,025	1,923	1,849	1,835	1,804
Total Assets		115,717	120,466	116,764	110,122	104,233	103,483	100,245	100,184	103,078	103,812
Insurance Annuity Liability		246.00	245.00	247.00	255.00	289.00	298.00	304.00	298.00	299.00	314.00
Unearned Premiums		18,240	16,469	15,222	14,604	13,555	12,915	12,329	11,971	11,839	11,850
Debt		7,570	7,290	6,550	6,558	6,564	6,571	6,437	6,344	6,349	6,346
Common Equity		21,560	28,887	29,201	25,943	22,894	23,731	23,221	23,598	24,836	24,796
Property & Casualty: Combined		95.60	94.50	95.00	96.50	96.90	97.90	92.00	88.30	89.00	89.80
% Return on Revenue		7.71	10.52	8.43	8.30	8.33	7.11	10.96	12.82	13.59	14.08
% Return on Equity		11.30	12.60	9.80	10.70	10.80	8.80	12.90	14.20	14.90	14.60
Premium/Annuity Revenue		33,763	30,855	29,044	28,272	27,059	25,683	24,534	23,874	23,713	22,637

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

The Travelers Companies, Inc.

Sub-Industry Outlook

CFRA's fundamental outlook for the property & casualty insurance sub-industry is positive. Despite some persistent claim cost inflation and some uncertainty over the level of claims stemming from the myriad of recent catastrophes, industry profitability in most lines of coverage is set to improve in 2023 amid an expected easing of heavy worldwide catastrophe claims that plagued most insurers in recent years. However, these losses will likely extract enough excess underwriting capacity from the insurance marketplace to cause rates for many lines of coverage to remain firm. The degree to which demand decreases for certain types of insurance products, particularly those in the commercial lines area, will depend on the health of the broader economy in the U.S. and overseas and the degree to which they are able to withstand a rise in interest rates. Underwriting results in the core personal auto and homeowners' line will likely remain unprofitable in 2023, as persistently high claims inflation [caused in part by supply chain issues] could hamper further margin gains, particularly among personal lines auto insurers. A firming of rates (particularly in the commercial lines segment) will likely propel net written premiums by about 7%-10% in 2023 and by 6%-10% in 2024, in our estimation. This compares with the 8.3% rise in net written premiums reported in 2022 (in line with our 7%-10% growth forecast), and the 8% rise posted in 2021. Operating profitability in the property-casualty industry is heavily influenced by the level of weather and catastrophe losses. Worldwide catastrophe losses totaled about \$270 billion in 2022, down slightly from \$280 billion in 2021 and below the record of about \$350 billion set in 2017. Insured losses were around \$120 billion in 2022, or about 44% of total losses, above a long-term average we estimate to be around 40%, but below the 51% of catastrophe losses that were covered by insurance in 2018, reflecting a shift in the type of catastrophes, as fires [which are more comprehensively covered by insurance] accounted for more of the catastrophes in 2018, while

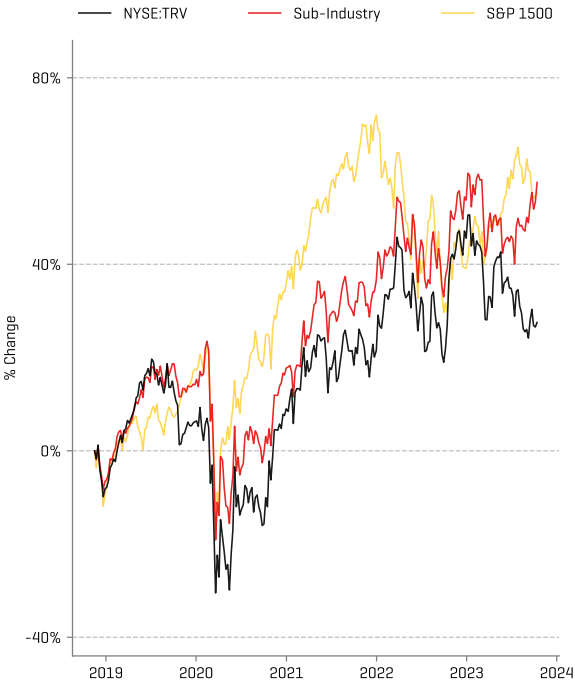
hurricanes [whose flooding is typically excluded from insurance coverage] typically account for the majority of catastrophes. Following the rise in catastrophe losses and an uptick in claims costs in several core line of coverage [including personal auto], underwriting results deteriorated in 2022. As a result, the combined [loss and expense] ratio—a key underwriting metric—deteriorated in 2022 to 102.7% from 99.6% in 2021, 98.8% in 2020, and 99.0% in 2019. As of March 31, 2023 [latest available], the industry had \$1 trillion in policyholder surplus (or capital), supporting its written premium base of about \$782 billion. The industry was leveraging its capital at less than a 1:1 ratio. Assuming a historical (and somewhat theoretical) benchmark 2:1 leverage of capital, we estimate the industry had “excess” capital of over \$300 billion. We think this “excess” capital (or underwriting capacity) has enabled insurers to leverage the firmer pricing environment and grow their book of business—a trend that may continue as demand and pricing remain firm. During 2022, the S&P Property & Casualty Insurance Index rose by 12.6%, while the S&P 1500 Index declined by 19.1%. Year-to-date through August 11, 2023, the S&P Property & Casualty Insurance Index declined by 3.5%, while the S&P 1500 Index rose 15.7%.

/ Catherine Seifert

Industry Performance

GICS Sector: Financials
Sub-Industry: Property and Casualty Insurance

Based on S&P 1500 Indexes
Five-Year market price performance through Oct 14, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Property and Casualty Insurance Peer Group*: Property and Casualty Insurance

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
The Travelers Companies, Inc.	TRV	NYSE	USD	164.21	37,595.0	0.7	-0.8	17.0	144.06	2.4	10.0	26.5
Arch Capital Group Ltd.	ACGL	NasdaqGS	USD	84.16	31,206.0	7.4	77.1	14.0	117.09	N/A	16.7	15.7
CNA Financial Corporation	CNA	NYSE	USD	40.24	10,899.0	3.0	2.3	11.0	N/A	4.2	10.8	20.0
Cincinnati Financial Corporation	CINF	NasdaqGS	USD	101.80	15,968.0	-4.4	0.4	25.0	121.98	2.9	12.6	6.6
Erie Indemnity Company	ERIE	NasdaqGS	USD	306.52	16,028.0	6.2	29.7	45.0	N/A	1.6	24.5	N/A
Fairfax Financial Holdings Limited	FRFH.F	OTCPK	USD	828.03	26,681.0	-0.9	81.5	8.0	N/A	1.2	12.5	26.4
Intact Financial Corporation	IFCZ.F	OTCPK	USD	146.06	35,606.0	1.7	5.9	28.0	N/A	2.2	8.5	21.5
Loews Corporation	L	NYSE	USD	63.81	14,390.0	N/A	18.9	12.0	N/A	0.4	8.6	33.0
Markel Group Inc.	MKL	NYSE	USD	1,495.87	19,842.0	-0.6	29.7	19.0	1,673.80	N/A	14.9	20.6
The Allstate Corporation	ALL	NYSE	USD	120.32	31,473.0	10.5	-10.8	NM	N/A	3.0	-15.2	34.1
W. R. Berkley Corporation	WRB	NYSE	USD	63.84	16,440.0	1.1	-10.7	15.0	63.26	0.7	18.8	28.5

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

The Travelers Companies, Inc.

Analyst Research Notes and other Company News

July 20, 2023

03:56 PM ET... CFRA Keeps Buy Opinion on Shares of The Travelers Companies, Inc. [TRV 173.71****]:

We keep our 12-month target price of \$205, valuing TRV at 10.6x our newly initiated 2025 operating EPS estimate of \$19.25 and at 12.1x our 2024 EPS estimate of \$16.95 (upped today by \$0.20), versus its three-year average forward multiple of 12.8x and a peer average of 13.1x. We cut our 2023 EPS estimate by \$2.72 to \$12.24 after Q2 operating EPS of \$0.06 versus \$2.57 lagged our \$2.65 EPS estimate and the \$2.12 consensus forecast. Catastrophic losses of \$1.4B versus \$746M offset strong [14%] written premium growth and improved core results, evidenced by the underlying combined [loss and expense] ratio of 91.1% versus 92.8%. These losses, and what TRV referred to as “stubbornly high” auto claim costs on today’s call, temper our view, though we expect TRV to produce 8%-12% revenue growth in 2023 on 9%-12% higher premiums and modestly higher investment income. Currently trading at 10.3x our 2024 EPS estimate, we view the shares [currently yielding 2.3%] as undervalued versus peer and historical averages. / Catherine Seifert

April 19, 2023

10:39 AM ET... CFRA Lifts View on Shares of The Travelers Companies, Inc. to Buy from Hold [TRV 181.36****]:

We up our 12-month target price by \$5 to \$205, valuing TRV at 12.2x our 2024 operating EPS estimate of \$16.75, vs. a three-year average forward multiple of 12.8x and a peer average of 12.3x. We lift our 2023 EPS estimate to \$14.96 from \$14.65 on higher-than-expected Q2 weather claims and Q1 operating EPS of \$4.11 vs. \$4.22 that topped our \$3.72 EPS estimate and the \$3.58 consensus despite higher weather losses that pushed the Q1 combined ratio to 95.4% from 91.3%. Our upgrade reflects our view that TRV shares, trading at 10.8X our 2024 EPS estimate and yielding 2.2% [amid today’s higher opening], are undervalued vs. peer and historical averages. We see an acceleration in TRV’s top-line growth, evidenced by the 12% rise in Q1 written premiums [paced by a 15% rise in core Business Insurance premiums], and improving underlying claim trends [evidenced by the Q1 underlying combined ratio of 90.6% vs. 91.2%] providing the shares with a catalyst to close their valuation gap to peers and historical averages. / Catherine Seifert

January 24, 2023

11:35 AM ET... CFRA Keeps Hold Opinion on Shares of The Travelers Companies, Inc. [TRV 190.15****]:

We lift our 12-month target price by \$13 to \$200, valuing TRV shares at 13.7x our 2023 operating EPS estimate of \$14.65 [cut today by \$0.20] and at 11.9x our newly initiated 2024 EPS estimate of \$16.75, versus the company’s five-year average forward multiple of 12.6x. TRV posted Q4 operating EPS of \$3.40 versus \$5.20, matching our EPS estimate and the consensus forecast of \$3.40, amid 4.4% higher operating revenues [below our 6%-10% growth forecast] as 10% higher premiums [in line with our 7%-10% estimate] were offset by 16% lower investment income. Underwriting results deteriorated, as expected, amid higher catastrophes and some adverse underlying claim trends, but remained profitable, with a combined ratio of 94.5% versus 88%, which we view as superior to some peers. We expect TRV to produce an 8% to 10% rise in premiums in 2023. Currently trading at 12.9x our 2023 EPS estimate, above historical averages, with top-line growth below some peers, we view the shares [which currently yield 2%] as fairly valued. / Catherine Seifert

January 17, 2023

01:11 PM ET... CFRA Keeps Hold Opinion on Shares of The Travelers Companies, Inc. [TRV 182.24****]:

We keep our 12-month target price of \$187, valuing TRV shares at 12.6x our 2023 operating EPS estimate of \$14.85, in line with their five-year average forward multiple. We lower our Q4 2022 operating EPS estimate and our full-year 2022 EPS estimate by \$0.48, to \$3.40 and \$12.42, respectively, after TRV pre-announced results that are being negatively impacted by severe winter storms in 37 states, which produced Q4 after-tax catastrophe losses of \$362 million. Weighing TRV’s decent underlying commercial lines results [albeit in slower growing lines of coverage, including worker compensation], with the likelihood that its personal line book of business may continue to be challenged by adverse claim trends, we view the shares [which currently yield 2.0%] as fairly valued versus historical averages. / Catherine Seifert

October 19, 2022

12:04 PM ET... CFRA Keeps Hold Opinion on Shares of The Travelers Companies, Inc. [TRV 172.15****]:

We lift our 12-month target price by \$12, to \$187, or 12.6x our 2023 operating EPS estimate of \$14.85 [raised today by \$0.35], versus TRV’s three year average forward multiple of 12.6x and a peer average of 13x. We trim our 2022 operating EPS estimate by \$0.29, to \$12.90. Q3 operating EPS of \$2.20 versus \$2.60 lagged our \$2.52 operating EPS estimate, but topped the \$1.60 consensus forecast on 6.8% higher operating revenues [versus our 6%-10% forecast] as 10% higher premiums [versus our forecasted 7%-10% rise] were offset by 23% lower investment income. Underwriting results topped expectations, as 11.4% higher claim costs included only 2.2% higher catastrophe claims, though underlying results deteriorated. We applaud TRV’s 11% growth in written premiums YTD, but still see 6%-10% operating revenue growth in 2022, 2023 on investment income pressures and some underwriting deterioration. At current levels, the shares [currently yielding 2.2%] are fairly valued versus historical averages, but worth holding. / Catherine Seifert

July 21, 2022

02:19 PM ET... CFRA Keeps Hold Opinion on Shares of The Travelers Companies Inc. [TRV 155.09****]:

We lower our 12-month target price by \$15 to \$175, or 12.1x our 2023 operating EPS estimate of \$14.50, versus the shares’ three-year average forward multiple of 12.7x and a peer average of 12.6x. TRV posted Q2 operating EPS of \$2.57 versus \$3.45 on 7% higher operating revenues [in line with our 6%-10% growth forecast], as 9.2% higher premiums [versus our 7%-9% forecasted rise] were partly offset by 14% lower investment income [flat to 5% forecasted drop] and 4% lower fee revenues [5%-7% expected rise]. Underwriting results deteriorated [evidenced by the 98.3% versus 95.3% combined ratio], as favorable prior-year claim trends were offset by 57% higher catastrophe losses. We see these claim trends continuing, and we lower our 2022 operating EPS estimate by \$0.10 to \$13.19. We applaud TRV’s ability to produce first-half 2022 written premium growth of 11%, though TRV’s exposure to catastrophes and its eroding underlying claim trends temper our view. However, yielding 2.4%, the shares are worth holding. / Catherine Seifert

April 19, 2022

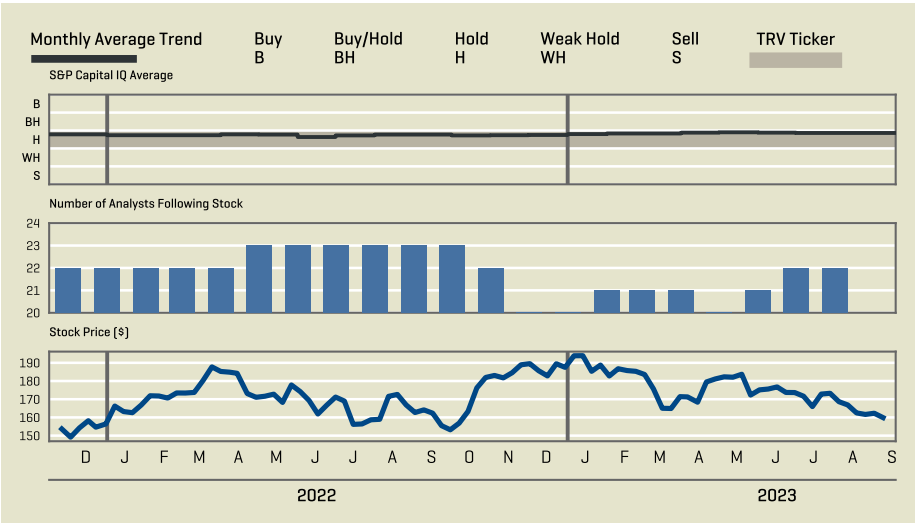
12:46 PM ET... CFRA Keeps Hold Opinion on Shares of The Travelers Companies, Inc. [TRV 176.08****]:

We keep our 12-month target price of \$190, or 13.1x our 2023 operating EPS estimate of \$14.50 [raised today by \$0.40] versus TRV’s five-year average forward multiple of 12.7x and peers’ average of 13.5x. We lift our 2022 operating EPS estimate by \$0.19 to \$13.29 after TRV posted Q1 operating EPS of \$4.22 versus \$2.73 on 6% revenue growth [compared to our 8%-11% forecast] as 9% higher premiums [in line with our 7%-9% forecasted rise] were offset by a 9.1% drop in investment income [lagging our 7%-10% forecast]. Underwriting results benefited from 81% lower catastrophes, offset by 52% lower prior-year favorable reserve development and underlying claim inflation that led to an underlying combined ratio of 91.2% versus 89.5%, likely weighing on the shares today. We now see 6%-10% operating revenue growth in 2021 [down from 8%-11%], but see 7%-9% higher premiums as TRV is leveraging both exposure growth and pricing gains, which should support the shares’ premium valuation versus historical averages. / Catherine Seifert

Note: Research notes reflect CFRA’s published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA’s current view on the company.

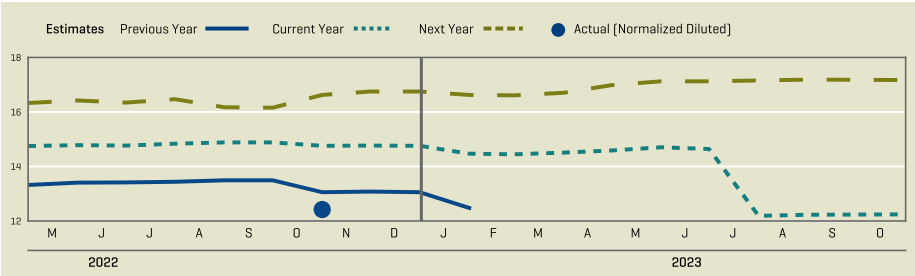
The Travelers Companies, Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	4	17	4	4
Buy/Hold	3	13	3	3
Hold	13	57	12	12
Weak hold	3	13	3	3
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	23	100	22	22

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	17.17	18.86	15.60	18	9.56
2023	12.24	13.00	11.61	19	13.41
2024 vs. 2023	▲ 40%	▲ 45%	▲ 34%	▼ -5%	▼ -29%
Q3'24	3.69	4.41	3.21	11	44.47
Q3'23	3.05	3.81	2.58	19	53.79
Q3'24 vs. Q3'23	▲ 21%	▲ 16%	▲ 24%	▼ -42%	▼ -17%

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that TRV will earn USD 12.24. For fiscal year 2024, analysts estimate that TRV's earnings per share will grow by 40.25% to USD 17.17.

The Travelers Companies, Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



The Travelers Companies, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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